



Minnesota Profile of Subminimum Wage Certificate Holders

By Shahrzad Sajadi & Kelly Haines

Background

The Rehabilitation Services Administration (RSA)'s Disability Innovation Fund (DIF) sent a notice inviting applications for projects addressing Subminimum Wage to Competitive Integrated Employment. In this notice, grantees were instructed to collect baseline data prior to the start of the project activities. At a minimum, grantees were instructed to also analyze the number of entities holding applications or with pending applications for a section 14(c) certificate in the project's state.

Minnesota Vocational Rehabilitation Services was among the agencies that was awarded this round of RSA funds. They developed the Go MN program as an opportunity to explore competitive integrated employment for those who are working in subminimum wage employment or for youth and students who are contemplating subminimum wage employment. To address the grant's instructions on the analysis of 14(c) certificate holders in the state, Minnesota VRS has taken advantage of its localized information sources about subminimum wage (SMW) providers in the field, through their partnership with the Centers for Independent Living across the state and through direct partnership with community rehabilitation providers (CRPs) who may hold 14(c) certificates.

DATA SOURCE

At a national level, the US Department of Labor Wage and Hour Division (DOL-WHD) makes datasets publicly available that list 14(c) certificate holders and describe basic characteristics of these entities. These data are available on a monthly schedule, and users can search for employer names or search by state using Tableau software on the DOL section 14(c) website.

The DOL-WHD data is solely based on the information the employer provided at application. The data include details about:

- the certificate type the employer applied for
- whether it was an initial application or renewal
- the certificate's period of validity
- its status (pending or issued)
- the employer's name and address
- the number of workers with disabilities who were paid a SMW by the certificate holder
- information about the employer's existing contracts covered by the PCA (Public Contracts Act) or SCA (Service Contract Act) at the time of application

Limitations

There are limitations to this data, as noted in the Minnesota Task Force on Eliminating Subminimum Wage *Initial Background Brief*^[1]. Notable limitations include the consideration that SMW work performed by individuals may not be consistent over the course of a year, and the numbers may fluctuate as providers change, close, or discontinue SMW work.

Summary of Key Points

As of June 2025, the US DOL-WHD data indicate that Minnesota had 48 issued 14(c) certificates and one additional certificate pending, a decrease from the 70 issued certificates in May 2023.

The ICI published two Data Briefs summarizing the national picture of 14(c) providers as of 2022 (Butterworth & Edelstein, 2023a2 and 2023b3). Butterworth and Edelstein (2023a) reported that of the 724 14(c) certificates issued nationally in 2022, Minnesota had 69 certificates issued,



In 2025, nearly all the 14(c) certificate holders were classified as a community rehabilitation program (CRP) (N = 44 out of 49), four were categorized as CRP and Business Establishment, and one reported as a Business Establishment only. None of the certificate holders reported holding government contracts covered by the McNamara O'Hara Service Contract Act or government contracts

As of June 2025, N = 35 of 48 certificates are due to end by December 2025. Fourteen certificates are valid until 2027. The ICI-Boston Evaluation Team will continue to monitor these data to identify trends over time as certificates expire or applicants re-apply or renew their certificates.

The following maps show the overall distribution of 14(c) certificate holders in 2023 and 2025 by county. The maps show a decrease in the overall number of certificate holders, especially in the southern parts of the state.

The image displays two maps of Minnesota, one for the year 2023 and one for 2025, illustrating the distribution of COVID-19 cases. The maps are color-coded by county, with yellow pins indicating the location of cases. The 2023 map shows a higher density of cases, particularly in the southern and central regions, with many cases clustered in the Minneapolis-St. Paul area. The 2025 map shows a more dispersed distribution of cases, with fewer cases overall and a more even spread across the state. Both maps include callouts for areas with multiple cases, such as the Minneapolis-St. Paul area and the southern region.

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The state of Minnesota 14(c) certificate holders reported a total of 2,966 workers paid subminimum wage as of June 2025, a decrease from the 3,867 reported in May of 2023.

The decrease in the total number of workers paid SMW since May 2023 is due in part to provider transformation initiatives, including among some of the largest providers in the state. For example, in the May 2023 DOL-WHD data, the 14(c) certificate holder Rise, Inc. had reported the highest number of people paid SMW of all 70 certificate holders (N = 282 individuals paid SMW). By March 2024, they had phased out SMW (see: Rise, Inc.) and do not appear in the June 2025 DOL-WHD certificate holder listing. Two of the certificate holders serving high numbers of workers in SMW in 2023 could account for roughly half of the N = 901 decrease in the number of workers paid SMW in 2025 when these providers were no longer 14(c) certificate holders.

Despite these changes, the distribution of workers paid SMW across 14(c) certificate holders is similar to past years, with just over two-thirds operating relatively small programs paying less than 50 workers SMW. Seven certificate holders reported paying over 100 workers SMW, compared to 12 reaching this threshold in 2023. Some of the largest providers in 2025 (see Table 1) significantly increased the number of workers paid SMW from 2023 to 2025. For the 48 active certificate holders, the average number of workers paid SMW as of June 2025 was N = 61 (median=40.5, range=8-313), which is also consistent with recent past years.

In Year 3, the Go MN Team identified five new pilot sites in the metro and southern region of the state, following the discontinuation of the northeastern Duluth pilot site. The five pilot sites and their respective counties include:

- 1. Willmar: Kandiyohi County**
- 2. Apple Valley: Dakota County**
- 3. Rochester: Olmstead County**
- 4. Winona: Winona County**
- 5. Woodbury: Washington County**

The Apple Valley and Woodbury pilot sites serve more of the metro area, while the other three pilot sites are located in southern MN (greater MN). Most pilot sites are in proximity to 14(c) certificate holders. As noted in Table 1, one provider (Ability Building Center) that is paying a significant number of workers SMW is a partnering provider on the Go MN project in the Rochester pilot area. One 14(c) certificate holder is located in relative proximity to the Willmar pilot site, although not in the same county. Those 14(c) certificate holders based in the metro area may be within the catchment area of the Apple Valley or Woodbury pilot offices.

Table 1.
14(c) Certificate Holders Paying More than 100 Workers SMW (June 2025) Data Source: DOL-WHD Certificate Listing

14(c) Certificate Holder	County	Number of Workers Paid SMW
Cedar Valley Services, Inc.	Mower (Greater MN)	313
Ability Building Center*	Olmstead (Greater MN)	307
Wacosa	Stearns (Greater MN)	238
Achieve Services Inc.	Anoka (Metro)	136
Opportunity Partners Inc.	Hennepin (Metro)	128
Workabilites, Inc.	Hennepin (Metro)	110
Merrick, Inc.	Ramsey (Metro)	107

*Partnering provider for Go MN Rochester pilot site

Key Take-aways & Next Steps:

- The number of 14(c) certificate holders has steadily declined since 2023 but there are still many active throughout the state, including some programs that reported paying hundreds of workers SMW as of June 2025.
- One of the 14(c) certificate holders is an active Go MN partnering provider, and there may be others in the targeted catchment areas for Go MN pilot sites.
- If the number of 14(c) certificate holders continues to decline, some people with a *recent history of earning* SMW may be seeking to transition to competitive integrated employment and could benefit from the Go MN intervention.
- The Go MN Team and ICI-Boston Evaluation Teams will continue to monitor both the DOL-WHD available data, supplemented with locally provided information from Centers for Independent Living and 14(c) providers to assess potential impact on the target sample size for the model demonstration.

^[1] Minnesota Task Force on Eliminating Subminimum Wage (2022, March). Initial Background Brief: Subminimum wage use, concerns, trends among states, and resources. Available at: https://mn.gov/dhs/assets/TFESW%20Initial%20Background%20Brief-accessible_tcm1053-521663.pdf

Data source: Department of Labor, Wage & Hour Division 14(c) Certificate Holders

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FOR MORE INFORMATION: Kelly.Haines@umb.edu

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